

DDCP Foundation, Inc.

A Wyoming Nonprofit Corporation

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COMMENT LETTER

Department of the Treasury

Office of the General Counsel

Notice of Proposed Rulemaking: GENIUS Act — Broad-Based Principles for Determining Whether a State-Level Regulatory Regime Is Substantially Similar to the Federal Regulatory Framework

Docket ID TREAS-DO-2026-0232 · RIN 1505-AC90 · 91 FR 16844

April 3, 2026

Comment Period Closes: June 2, 2026

I. Introduction

DDCP Foundation, Inc. (Foundation) submits this comment on the Department of the Treasury’s notice of proposed rulemaking implementing section 4(c) of the Guiding and Establishing National Innovation for U.S. Stablecoins Act (GENIUS Act). The Foundation is a Wyoming nonprofit corporation that fosters and stewards the development and maintenance of the open-source DDCP protocol infrastructure, an activity expressly excluded from the GENIUS Act’s definition of “digital asset service provider” by section 2(7)(B)(ii). This comment is also submitted on behalf of DDUSD, LLC (in formation), a Wyoming limited liability company that will be the first token deployment on the DDCP protocol and intends to file a Permitted Payment Stablecoin Issuer (PPSI) license application with the Office of the Comptroller of the Currency.

The Foundation addresses proposed §1521.3 and the definition of “Federal regulatory framework” under proposed §1521.1(c) as they apply to GENIUS Act section 4(a)(6)(B) — the requirement that a PPSI have the technological capability to comply with, and the obligation to comply with, the terms of lawful orders. The Foundation responds to Questions 2, 3, 4, and 23 in the NPRM.

All positions in this comment are consistent with and extend the Foundation’s filings on the OCC rulemaking record: the Foundation’s comment (Docket OCC-2025-0372, Comment ID OCC-2025-0372-0257, filed May 1, 2026, the “OCC Comment”) and the Foundation’s supplementary submission to that docket (Comment ID OCC-2025-0372-0349, filed May 20, 2026, the “OCC Supplementary Comment”). We respectfully request that this comment be read in conjunction with both OCC filings.

II. Section 4(a)(6)(B) Uniform Requirement — Compliance Capability, Digital Bearer Instrument Properties, and Architectural Pluralism

A. Treasury as Designated Rulemaker for Section 4(a)(6)(B)

Appendix A to proposed Part 1521 classifies GENIUS Act section 4(a)(6)(B) — “Technological capability to comply with, and obligation to comply with, terms of lawful orders” — as a uniform requirement governed by proposed §1521.3. The proposed definition of “Federal regulatory framework” under §1521.1(c) includes regulations, interpretations, and orders issued by Treasury for section 4(a)(6), and the NPRM confirms that Treasury “expects to address these provisions in a forthcoming rulemaking, and such rules will necessarily apply to State qualified payment stablecoin issuers.” That forthcoming rulemaking will establish the operative section 4(a)(6)(B) compliance capability standard for all PPSIs — federal and state qualified alike — because state regimes must implement uniform requirements “consistent with the Federal regulatory framework in all substantive respects” (§1521.2(b)(1)(i)). We respectfully submit that those principles, and the forthcoming rulemaking, should reflect the considerations in Sections II.B through II.D below.

B. DDUSD, LLC’s Compliance Capability through Co-Signature Authority and Financial Intermediary Coordination

DDUSD, LLC will possess the technological capability to comply with every lawful order meeting GENIUS Act section 2(16)’s definition — through co-signature authority and Financial Intermediary layer coordination — for the full population of orders specifying accounts held at Financial Intermediary layer entities (exchanges, custodial wallet providers, and other entities holding direct account relationships with end users) or persons identifiable through their KYC/KYB records. DDUSD, LLC’s three specific compliance capabilities are: (1) refusing new issuance to any address or account identified by a lawful order; (2) refusing redemption of tokens presented by or on behalf of a person subject to a lawful order; and (3) executing a burn of tokens held in custodial relationships at Financial Intermediary layer entities acting under a lawful order, with outstanding issuance value reduction and an on-chain auditable record. The fuller development of this framework and the three-capability model is on the OCC rulemaking record (OCC Comment, Section III.B; OCC Supplementary Comment, Section II.A) and is incorporated here by reference.

Financial Intermediary layer coordination inherently delivers the targeted enforcement GENIUS Act section 2(16)(B)’s reasonable particularity standard requires. Financial Intermediary layer entities hold KYC/KYB records that link real-world persons to accounts — precisely the identity information needed to execute an enforcement action directed at the person the order specifies, rather than at a blockchain address that may correspond to shared infrastructure, a custodial pool serving many users, or a smart contract with no connection to the order’s target. For the compliance capability question for tokens in non-custodial self-custody wallets, we refer to Section II.C and note that this remains an open interpretive question to be addressed through OCC pre-application engagement, as stated on the OCC rulemaking record.

C. Self-Custody Wallets as Digital Bearer Instruments — Executive Order 14178 and Cumulative Congressional Intent

DDUSD in a self-custody wallet is structurally a digital bearer instrument. The holder controls the private key; the tokens are under direct custody; no institutional intermediary holds them. Physical cash has the same structure: possession confers the entitlement, and seizure requires physical presence and legal process directed at an identified person. A licensing condition requiring a centralized administrative key with post-issuance override capability over self-custody wallet addresses would eliminate this bearer instrument property — engineering into a federally licensed stablecoin, as a condition of its authorization, a standing override capability that Executive Order 14178 and advancing Congressional legislation identify as the defining danger of CBDC architecture.

Three independent authorities establish that this property should be preserved:

Executive Order 14178, Sections 1(a)(i) and 1(a)(v) (January 23, 2025). Section 1(a)(i) establishes as express executive policy “protecting and promoting the ability of individual citizens and private-sector entities alike to access and use for lawful purposes open public blockchain networks without persecution, including the ability to ... transact with other persons without unlawful censorship, and to maintain self-custody of digital assets.” Section 1(a)(v) directs “taking measures to protect Americans from the risks of Central Bank Digital Currencies (CBDCs), which threaten the stability of the financial system, individual privacy, and the sovereignty of the United States.” A licensing condition requiring a centralized administrative key would produce, as a permanent architectural feature of a federally licensed stablecoin, the standing override capability that section 1(a)(v) identifies as threatening individual privacy — not in a government-operated system, but in a federally licensed private system, as a condition of its authorization.

21st Century ROAD to Housing Act of 2026 (ROAD Act), §1001 (Senate passed 89–10, March 12, 2026) (adding Federal Reserve Act §16A(c)). Federal Reserve Act §16A(c), as added by Section 1001 of the ROAD Act, provides that the CBDC prohibition enacted by that legislation “shall not prohibit any dollar-denominated currency that is open, permissionless, and private, and fully preserves the privacy protections of United States coins and physical currency.” DDUSD is designed to be precisely this instrument.

Digital Asset Market Clarity Act of 2025 (CLARITY Act), §604 (House passed 294–134, July 2025; Senate Banking Committee passed 15–9, May 14, 2026) (adding Federal Reserve Act §10(11)(C)). Federal Reserve Act §10(11)(C), as added by CLARITY Act §604, provides, in identical language, that the CBDC prohibition in that legislation “may not be construed to prohibit any dollar-denominated currency that is open, permissionless, and private, and fully preserves the privacy protections of United States coins and physical currency.” As a dedicated digital asset market structure bill advanced by the Senate Banking Committee, which has direct oversight jurisdiction over Treasury and the OCC, the CLARITY Act carries particular weight as Congressional intent on the PPSI licensing question.

Neither the ROAD Act nor the CLARITY Act has yet been enacted; both are citable as evidence of Congressional policy direction. Two independent legislative vehicles with identical exception language evidence deliberate bipartisan consensus: open, permissionless, private dollar-denominated currency that preserves the privacy properties of physical currency is a category Congress intends to protect. DDUSD is designed to be precisely this instrument. A section 4(a)(6)(B) interpretation that conditions PPSI authorization on building a centralized administrative key would foreclose that category. Where “technological capability to comply”

presents genuine interpretive ambiguity, Executive Order 14178 and this cumulative Congressional intent support the reading that does not impose that condition.

A centralized administrative key cannot honor the personal-protections dimension of these authorities in practice: without KYC/KYB records for self-custody wallet holders, there is no mechanism to determine whether a given holder is a U.S. person entitled to the protections physical cash carries. The key operates on addresses, not on identity. A compliance mechanism directed at self-custody wallets therefore simultaneously subjects every U.S. person holding DDUSD in self-custody to the same override capability — without any ability to distinguish them. The protections Executive Order 14178 and the cited legislation establish are given practical effect only if self-custody wallets, as a class, are not subject to protocol-level override.

D. Architectural Pluralism

The GENIUS Act does not mandate the centralized administrative key as the exclusive permissible means of satisfying section 4(a)(6)(B). The statute specifies the outcome — compliance with lawful orders — without prescribing the mechanism. Treasury’s own published rulemaking on section 4(a)(6)(B) compliance capability supports this reading. The joint FinCEN/OFAC GENIUS Act NPRM (91 FR 18582, April 10, 2026), implementing section 4(a)(6)(B) compliance obligations for PPSIs under Treasury’s authority, explicitly states that proposed §1033.240 is “a novel requirement that does not currently apply to other types of financial institutions” and that the proposed rule “neither prescribes how PPSIs should implement the technical capability requirement.” This flexibility language is a published Treasury regulatory position on implementation method and belongs within the Federal regulatory framework that state regimes must implement consistently under §1521.1(c).

We respectfully request that Treasury confirm that co-signature authority and Financial Intermediary layer coordination constitutes a compliant implementation of section 4(a)(6)(B), consistent with the flexibility principle in the FinCEN/OFAC GENIUS Act NPRM preamble (91 FR 18582) and the OCC rulemaking record (Docket OCC-2025-0372, including OCC-2025-0372-0257 and OCC-2025-0372-0349).

E. Responses to Questions 2, 3, and 4

In response to Question 2: we respectfully submit that the “Federal regulatory framework” for section 4(a)(6) should be understood to include the flexibility principle in the FinCEN/OFAC NPRM preamble (91 FR 18582) — that section 4(a)(6)(B) does not mandate a specific implementation method — as a published Treasury regulatory position within the scope of §1521.1(c).

In response to Question 3: we respectfully request that Treasury incorporate the OCC rulemaking record (Docket OCC-2025-0372, including OCC-2025-0372-0257 and OCC-2025-0372-0349) into its understanding of the section 4(a)(6) framework when evaluating state regime compliance with the uniform requirement.

In response to Question 4: the classification of section 4(a)(6)(B) as a uniform requirement is appropriate. This comment addresses the substance of what the uniform standard requires, not the classification itself.

III. Question 23: The Unworkable State Regime Consequence

Question 23 asks whether any uniform requirement would be unworkable for a state regime unless the state could materially narrow, condition, or limit its scope. Section 4(a)(6)(B) presents this concern precisely. If the section 4(a)(6)(B) uniform standard is read to require a centralized administrative key, no state regime can certify as substantially similar for issuers that implement the section 4(a)(6)(B) obligation through co-signature authority and Financial Intermediary layer coordination rather than a centralized administrative key. Such issuers would be excluded from state PPSI eligibility on architectural grounds unrelated to compliance outcomes, producing a race toward administrative-key architectures that concentrate standing override capabilities over self-custody wallets in a small number of issuers reachable by executive action.

Executive Order 14178 and the advancing Congressional legislation cited in Section II.C identify this concentration as the core structural danger of CBDC architecture. The March 2026 Circle episode illustrates the operational dimension: in response to a civil court order targeting a single commercial dispute, Circle's administrative freeze capability reached sixteen unrelated wallet addresses with no connection to the underlying litigation, including a smart contract serving thousands of users. A protocol-level freeze function cannot limit its own blast radius because it operates on addresses rather than on the identity of the order's target. Treasury, as both the policy home of Executive Order 14178's stablecoin promotion mandate and the designated rulemaker for section 4(a)(6)(B), is the appropriate authority to confirm that its forthcoming rulemaking will not mandate this architecture.

The resolution is not reclassification. We agree that section 4(a)(6)(B) should remain a uniform requirement. The resolution is to confirm the correct interpretation: the uniform standard, read under the reasonable particularity constraint in GENIUS Act section 2(16)(B)(2), the architectural pluralism principle in the FinCEN/OFAC NPRM preamble (91 FR 18582), and the policy framework established by Executive Order 14178 Sections 1(a)(i) and 1(a)(v) and the advancing ROAD Act and CLARITY Act, is satisfied by co-signature authority and Financial Intermediary layer coordination for the full population of lawful orders the statute can properly generate. Under this interpretation, section 4(a)(6)(B) functions as designed — establishing a consistent compliance floor across all PPSIs regardless of charter type — without creating an implementation mandate that forecloses architecturally distinct issuers from any regulatory path.

IV. Conclusion and Confirmations Requested

DDCP Foundation, Inc. submits this comment as steward of the DDCP open-source protocol infrastructure, on behalf of DDUSD, LLC (in formation) as a prospective OCC-licensed PPSI. All positions are fully consistent with and extend the Foundation's OCC rulemaking filings (Docket OCC-2025-0372).

We respectfully request that Treasury address the following in the final rule or accompanying preamble:

- **Compliance capability standard:** Confirm that the section 4(a)(6)(B) uniform requirement is satisfied by co-signature authority and Financial Intermediary layer coordination for tokens held at Financial Intermediary layer entities, calibrated to the reasonable particularity standard in GENIUS Act section 2(16)(B)(2).

- **Architectural pluralism:** Confirm that the forthcoming section 4(a)(6)(B) rulemaking will reflect that neither the GENIUS Act nor implementing regulations mandate a centralized administrative key as the only permissible implementation method, consistent with the flexibility principle in the FinCEN/OFAC GENIUS Act NPRM preamble (91 FR 18582).
- **Digital bearer instrument properties:** Confirm that a licensing condition requiring a centralized administrative key with post-issuance override capability over self-custody wallet addresses is not required by section 4(a)(6)(B) as correctly interpreted under GENIUS Act section 2(16)(B)(2) and Executive Order 14178 Sections 1(a)(i) and 1(a)(v).

Respectfully submitted,

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